

MARKET PRICE		OUR FAIR VALUE (DCF)		UPSIDE TO OUR VALUE		CONSENSUS (MARKET)	
USD 218.99		USD 86.06		-60.7%		USD 300.00	
REVENUE	OPERATING MARGIN	FREE CASH FLOW	WACC	OUR FAIR VALUE (DCF)	CONSENSUS TARGET		
USD 215.9bn FY2026, +65% YoY	60.4% FY2026	USD 96.7bn FY2026	12.0% Discount rate (CAPM)	USD 86.06 -61% vs market	USD 300.00 what the market believes		

Reading the valuation. Our intrinsic DCF values NVDA at USD 86.06, against a market price of USD 218.99 and a Wall Street consensus target of USD 300.00 (the market's view, which our thesis weighs against). Holding every other assumption fixed, today's price implies first-year revenue growth of about 77%, decaying toward the terminal rate. Judge that against the reported history below rather than treating the rating as a forecast.

INVESTMENT THESIS

A strong technology leader, but at USD 219 the market prices in unsustainably high growth and margin expansion that we do not expect to materialize.

Business quality: Strong · **Stock:** SELL — NVIDIA demonstrates robust revenue growth potential and industry-leading operating margins, with FY2026 operating margin projected at 60%, reflecting strong competitive positioning in AI and GPU markets.

What the market prices in. The current share price implies an aggressive first-year revenue growth of approximately 77%, decaying thereafter, and sustained operating margins above 60%, reflecting Wall Street's consensus optimism for rapid AI-driven growth and margin expansion.

What we expect. Our base case assumes more moderate revenue growth of 32.7% in year one, with operating margins stabilizing at 48.3% long term and terminal growth of 2.5%, reflecting normalization after initial AI-driven surges.

The gap. The market's expectation of near-doubling revenue growth and sustained ultra-high margins contrasts with our more conservative assumptions, leading to a 61% downside to our intrinsic DCF fair value of USD 86.06 and supporting a SELL recommendation.

Why SELL

- 1 Reverse DCF shows market pricing in nearly 77% revenue growth in year one, more than double our 32.7% estimate.
- 2 Operating margins in our model normalize to 48.3%, well below the 60%+ margins implied by recent results and market expectations.
- 3 Probability-weighted scenario analysis yields a fair value of USD 104.05, significantly below the current price.
- 4 Recent explosive growth rates (FY2024 +126%, FY2025 +114%) are unlikely to be sustained long term given competitive and execution risks.
- 5 Management's forward-looking statements highlight risks including supply chain dependencies and technological competition, which could impair growth and margins.

Biggest catalyst. Quarterly earnings that materially miss the high growth and margin expectations priced in, triggering a sharp re-rating downward.

Biggest risk. Sustained AI-driven demand and margin expansion exceeding our conservative estimates, validating Wall Street's more bullish outlook and supporting higher valuations.

We would turn more positive if:

- Sustained revenue growth above 70% year-over-year for multiple quarters beyond FY2024.
- Operating margins consistently above 60% beyond FY2026.
- Successful launch and market adoption of new architectures (e.g., Blackwell) driving incremental growth.

We would turn more negative if:

- Revenue growth falling below 25% in the near term, indicating weaker AI demand.

- Operating margins declining below 40% due to increased competition or supply chain issues.
- Negative guidance or delays in product launches impacting market confidence.

The case against our view. The market's bullish view is supported by NVIDIA's dominant position in AI hardware, rapid adoption of new technologies, and strong free cash flow generation, which could justify the premium valuation if growth and margins remain elevated.

BUSINESS OVERVIEW

NVIDIA's revenue is predominantly driven by its Compute & Networking segment, anchored in data center demand, with concentrated customer exposure posing risks.

NVIDIA's business is structured into two main operating segments: Compute & Networking and Graphics, with Compute & Networking generating \$193.5 billion of the \$215.9 billion total revenue in fiscal 2026, representing nearly 90% of sales [2]. This dominance indicates the company's strategic focus on high-performance computing and networking solutions, particularly for data centers, which accounted for \$193.7 billion of revenue alone [3]. The heavy reliance on this segment suggests NVIDIA's core value proposition is its advanced computing platforms, such as the Blackwell architecture, which supports accelerated computing and AI workloads [6]. This concentration is sustainable as long as demand for AI and data center infrastructure continues to grow, but it could be vulnerable if market shifts reduce data center spending or if competitors erode NVIDIA's technological edge.

Geographically, NVIDIA's revenue is heavily skewed towards customers headquartered in the United States, which accounted for \$149.6 billion or about 69% of total revenue in fiscal 2026, up from \$77.5 billion in 2025 [1]. This concentration reflects the company's exposure to U.S.-based hyperscalers and cloud service providers, who are major direct customers primarily in the Compute & Networking segment [4]. While this concentration benefits from the scale and growth of U.S. cloud infrastructure, it also introduces geopolitical and supply chain risks, especially given the complex routing of products through Taiwan and China. The persistence of this geographic concentration depends on maintaining strong relationships with these major U.S. customers and navigating international trade dynamics.

NVIDIA's customer base is highly concentrated, with one direct customer representing 22% and another 14% of total revenue in fiscal 2026, both primarily in the Compute & Networking segment [4][6]. This concentration underscores NVIDIA's dependence on a few large hyperscale cloud providers and AI model makers, which amplifies revenue volatility but also reflects the company's critical role in enabling AI workloads. The sustainability of this concentration hinges on continued technological leadership and the ability to meet the evolving demands of these key customers. Any loss or reduction in orders from these customers could materially impact NVIDIA's financial performance.

The Graphics segment, while smaller at \$22.5 billion in fiscal 2026, remains a meaningful contributor to NVIDIA's revenue and operating income, driven by sales of the Blackwell architecture [2][6]. This segment serves gaming, professional visualization, and automotive markets, providing diversification beyond data centers [3]. However, its slower growth relative to Compute & Networking suggests it is a secondary growth driver. The segment's contribution is likely to persist but may not materially alter the company's overall revenue mix unless new product cycles or market expansions occur.

- Compute & Networking segment generated \$193.5 billion in fiscal 2026, nearly 90% of total revenue, indicating NVIDIA's core focus on data center and AI computing [2].
- Data Center revenue alone was \$193.7 billion, underscoring NVIDIA's reliance on hyperscale cloud and AI workloads [3].
- U.S.-headquartered customers accounted for \$149.6 billion or 69% of revenue, reflecting geographic concentration and exposure to U.S. cloud providers [1].
- One direct customer represented 22% of total revenue in fiscal 2026, highlighting customer concentration risk [4].
- Graphics segment contributed \$22.5 billion, supporting gaming and visualization markets but growing slower than Compute & Networking [2][3].

What it means. NVIDIA's business model is deeply embedded in data center and AI infrastructure with concentrated customer and geographic exposure, which supports strong growth but requires managing dependency risks for sustained investment appeal.

Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.78
- [2] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.77
- [3] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.79
- [4] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.78
- [5] Q32026 Quarterly Report (10-Q) - Item 1 -Financial Statements - p.22
- [6] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.40
- [7] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41

FINANCIAL PERFORMANCE

NVIDIA's revenue and profits surged on AI-driven demand but margin pressure and rising costs may temper near-term profitability.

NVIDIA's fiscal 2026 revenue jumped 65% to \$215.9 billion, propelled by a 68% increase in Data Center sales and strong growth in Gaming (+41%) and Professional Visualization (+70%) segments, reflecting the company's successful capture of accelerated computing and AI platform shifts [1][2]. This surge indicates NVIDIA's ability to monetize emerging AI trends effectively, but sustaining such rapid growth depends on continued innovation and market adoption of its Blackwell architecture and AI solutions, which face potential supply constraints especially in Gaming [2].

Despite top-line growth, gross margin declined by 3.9 percentage points to 71.1%, driven by the transition from Hopper HGX to Blackwell full-scale datacenter solutions and a \$4.5 billion charge related to excess H2O inventory [2][3]. This margin compression suggests that while NVIDIA is investing heavily in next-generation platforms, cost efficiencies have yet to fully materialize. The persistence of margin pressure will hinge on inventory management and the company's ability to optimize production costs for Blackwell systems.

Operating expenses rose 41% to \$23.1 billion, fueled by higher compensation, employee growth, and increased compute and infrastructure costs [1][2][4]. However, operating income still grew 60% to \$130.4 billion, showing that revenue gains outpaced expense growth. The sustainability of this operating leverage depends on NVIDIA's capacity to control expense growth amid ongoing investments in R&D; and infrastructure critical for maintaining technological leadership.

NVIDIA's net cash from operating activities surged to \$102.7 billion, a 60% increase year-over-year, supporting robust free cash flow generation despite higher investing and financing outflows [5][6]. Strong cash flow underpins NVIDIA's financial flexibility to fund innovation and strategic initiatives. Continued cash flow strength will be essential to sustain growth investments and shareholder returns, but could be challenged if margin pressures or capital expenditures escalate further.

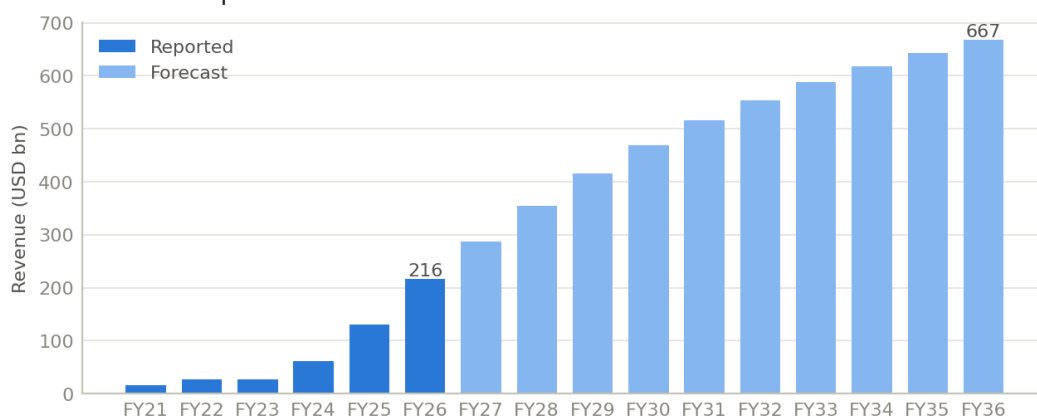
- 65% revenue growth to \$215.9 billion driven by AI and accelerated computing platforms signals strong market demand but depends on continued innovation [1][2]
- Gross margin fell 3.9 points to 71.1% due to product mix shift and a \$4.5 billion inventory charge, indicating margin risks from new platform transitions [2][3]
- Operating expenses increased 41% to \$23.1 billion, reflecting investments in talent and infrastructure necessary for growth but pressuring near-term profitability [4]
- Operating income rose 60% to \$130.4 billion, showing revenue growth outpaced expense increases, but sustaining this leverage requires expense discipline [1]
- Net cash from operations grew 60% to \$102.7 billion, providing strong financial flexibility to support innovation and capital allocation [5][6]
- Data Center revenue up 66% in Q3 FY2026 with Blackwell architecture ramping, confirming AI-driven growth momentum but supply constraints may limit Gaming segment [7][8]

What it means. NVIDIA's financial performance confirms its leadership in AI-driven markets, but margin pressures and rising costs require monitoring to ensure durable profitability and cash flow growth.

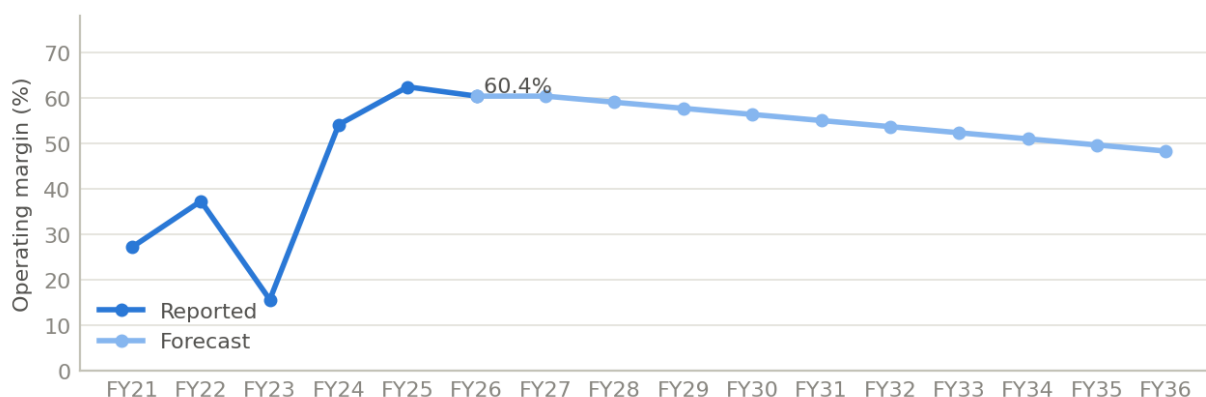
Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
- [2] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
- [3] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.40
- [4] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41
- [5] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.43
- [6] FY2026 Earnings Release - RECONCILIATION OF GAAP TO NON-GAAP FINANCIAL MEASURES - p.12
- [7] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.26
- [8] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.26

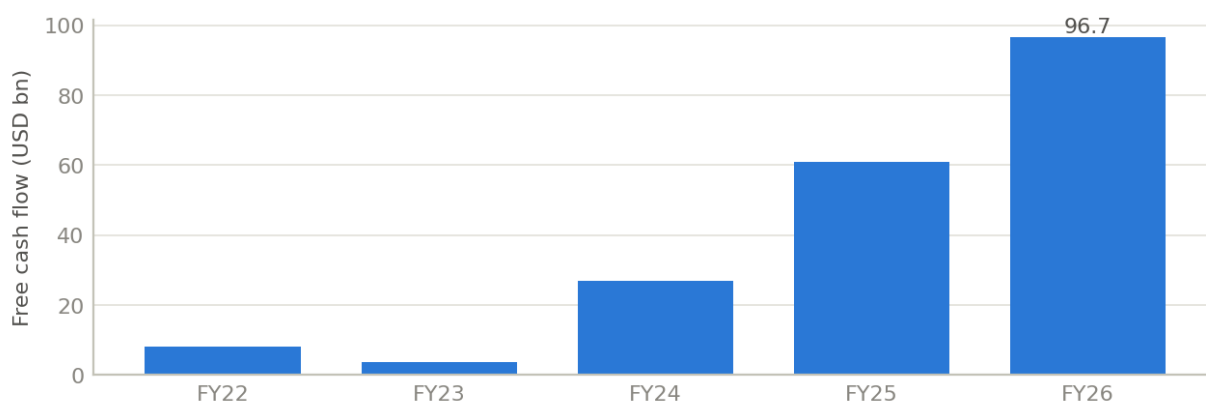
Revenue: reported and forecast



Operating margin



Free cash flow



Fiscal year	Revenue	Growth	Op. income	Op. margin	Net income	FCF
FY2021	16.7bn	-	4.5bn	27.2%	4.3bn	-
FY2022	26.9bn	61.4%	10.0bn	37.3%	9.8bn	8.1bn
FY2023	27.0bn	0.2%	4.2bn	15.7%	4.4bn	3.8bn
FY2024	60.9bn	125.9%	33.0bn	54.1%	29.8bn	27.0bn
FY2025	130.5bn	114.2%	81.5bn	62.4%	72.9bn	60.9bn
FY2026	215.9bn	65.5%	130.4bn	60.4%	120.1bn	96.7bn

Figures in USD. Source: company filings.

GROWTH DRIVERS

NVIDIA's accelerated product cadence and AI-driven demand fuel near-term growth but introduce supply and transition risks that could affect revenue stability.

NVIDIA's fiscal 2026 revenue surged 65%, driven by 68% growth in Data Center and 41% in Gaming, fueled by accelerated computing and AI platform shifts, notably Blackwell demand [2]. This confirms that AI-related workloads are a primary revenue engine, reflecting strong market adoption of NVIDIA's latest architectures. However, sustaining this momentum depends on continuous innovation and market acceptance of new products, which may be challenged by the complexity and frequency of product transitions.

The company's strategy to introduce new Data Center architectures annually and expand product variety aims to capture diverse AI opportunities [1][3][7]. While this accelerates growth potential, it also magnifies supply chain and demand forecasting challenges, as customers may delay purchases anticipating new releases or struggle to adopt new architectures promptly. These dynamics create revenue volatility and risk inventory write-downs, as evidenced by recent margin impacts from low-yielding Blackwell material and excess inventory charges [1][2]. The sustainability of growth thus hinges on NVIDIA's ability to manage complex transitions and supply constraints effectively.

NVIDIA's investment in expanding U.S.-based manufacturing capacity seeks to mitigate supply risks and support scaling demand [1][3][6][7]. However, the success of this initiative depends on the domestic ecosystem's ability to ramp production timely. Delays or shortfalls could constrain NVIDIA's ability to meet demand, potentially eroding market share and revenue. Additionally, external factors such as evolving export controls and trade policies add uncertainty to supply chain stability [7]. These risks suggest that while manufacturing expansion is a positive growth enabler, it is not a guaranteed solution and requires ongoing execution excellence.

The rapid proliferation of AI models, including open-source alternatives, presents both an opportunity and a threat to NVIDIA's platform dominance [7]. Broad adoption of competitor-developed open-source models could reduce developer engagement with NVIDIA's ecosystem, limiting demand for its hardware and software stack. Therefore, future growth depends not only on hardware innovation but also on NVIDIA's ability to maintain ecosystem relevance and support next-generation AI workloads. This ecosystem dynamic introduces a variable that could either reinforce or undermine long-term revenue growth.

- 65% fiscal 2026 revenue growth driven by AI and accelerated computing indicates strong near-term demand but requires sustained innovation [2].
- Annual new Data Center architectures increase product variety but create supply-demand volatility and margin pressure from inventory risks [1][2][3].
- Expansion of U.S.-based manufacturing aims to alleviate supply constraints but depends on ecosystem capacity and faces geopolitical uncertainties [1][3][6][7].
- Open-source AI model adoption outside NVIDIA's platform risks reducing developer engagement and hardware demand, challenging ecosystem control [7].
- Recent \$4.5 billion inventory charge and Blackwell yield issues highlight risks from rapid product transitions impacting margins and revenue timing [1][2].

What it means. NVIDIA's growth is propelled by AI-driven product innovation and manufacturing expansion but remains vulnerable to supply chain complexities and ecosystem competition, requiring careful execution to sustain revenue gains.

Sources cited above.

[1] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.16

[2] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37

[3] Q32026 Quarterly Report (10-Q) - Item 1A -Risk Factors - p.35

[4] Q22026 Earnings Release (8-K) - p.5

[5] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.15

[6] Q12026 Quarterly Report (10-Q) - Item 1A -Risk Factors - p.32

[7] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.24

[8] Q32026 Earnings Release (8-K) - p.5

COMPETITIVE POSITION

NVIDIA faces intensifying competition and geopolitical constraints that challenge its market share but benefits from strong product performance and supply chain strategies.

NVIDIA operates in a highly competitive landscape with rivals ranging from established semiconductor firms like AMD, Intel, and Broadcom to large cloud providers such as Amazon and Microsoft developing internal AI hardware solutions [1]. This breadth of competition pressures NVIDIA to continuously innovate on performance, features, and pricing to maintain its market position. The presence of competitors with greater manufacturing resources and IP portfolios suggests NVIDIA must leverage its design and software ecosystem advantages to sustain differentiation. This competitive intensity is likely to

persist given rapid technological evolution and new entrants, making ongoing investment in R&D; and ecosystem development critical for NVIDIA's competitive resilience [1][2][7].

Geopolitical export controls, particularly those restricting sales to China's data center market, have materially impaired NVIDIA's competitive position by effectively foreclosing a significant growth region and enabling competitors to expand their ecosystems [4][6]. These restrictions also complicate NVIDIA's ability to provide seamless customer support and may increase costs through licensing burdens. While NVIDIA is expanding manufacturing diversification beyond Asia to the U.S. and Latin America, these geopolitical risks and regulatory uncertainties remain a structural challenge that could continue to erode market share and margins unless resolved or mitigated [4][6][7].

Supply chain constraints and long lead times create volatility in NVIDIA's ability to match supply with fluctuating demand, leading to risks of inventory write-downs, pricing pressure, and lost sales [2][3][5]. The company's strategy of securing capacity through non-cancellable orders and deposits helps ensure availability but raises exposure to demand misestimation. This dynamic is exacerbated by the complexity of data center builds and component dependencies, making supply-demand mismatches a persistent risk that can impact financial results and customer relationships. Sustained supply chain agility and demand forecasting improvements will be necessary to maintain competitive delivery capabilities [2][3][5].

NVIDIA's competitive position depends heavily on its ability to anticipate customer needs and deliver consistent product volumes with high quality and competitive pricing [7]. Its fabless model and partnerships with leading foundries like TSMC and Samsung enable focus on design and innovation but also expose it to external manufacturing risks and supplier concentration. The company's investments in software support and ecosystem development are crucial to defend against competitors' lower-priced or feature-differentiated offerings. However, the combination of competitive pressures, geopolitical constraints, and supply chain risks suggests NVIDIA's market leadership is contestable and requires continuous strategic adaptation [1][7].

- NVIDIA faces competition from AMD, Intel, and cloud providers with internal AI hardware, indicating a broad and evolving competitive set [1].
- Export controls have effectively barred NVIDIA from China's data center market, materially benefiting competitors and limiting growth [4][6].
- Long manufacturing lead times and supply chain constraints have led to inventory write-downs and pricing pressures, highlighting demand-supply mismatch risks [2][3][5].
- NVIDIA's fabless manufacturing strategy focuses resources on design and innovation but depends on external foundries, exposing it to supply risks [7].
- Competitors' greater manufacturing resources and IP portfolios mean NVIDIA must rely on product performance and ecosystem strength to sustain market share [1][2].

What it means. NVIDIA's competitive position is under sustained pressure from rivals and geopolitical factors, requiring ongoing innovation and supply chain management to protect growth and margins.

Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 1 -Business - p.8
- [2] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.14
- [3] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.15
- [4] FY2026 Annual Report (10-K) - Item 1 -Business - p.10
- [5] Q12026 Quarterly Report (10-Q) - Item 1A -Risk Factors - p.30
- [6] FY2026 Annual Report (10-K) - Item 1 -Business - p.10
- [7] FY2026 Annual Report (10-K) - Item 1 -Business - p.8
- [8] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37

OUTLOOK

NVIDIA's aggressive capital return and disciplined investment strategy signal confidence in sustained cash flow and shareholder value creation amid cautious revenue outlooks.

NVIDIA has authorized a substantial \$60 billion increase in its share repurchase program, bringing total available repurchase capacity to over \$70 billion as of August 2025, and has repurchased 282 million shares for \$40.4 billion in fiscal 2026 alone [3][1][4]. This scale of buybacks indicates management's confidence in the company's cash generation and a strategic focus on offsetting dilution and enhancing shareholder returns. The continuation of repurchases subject to market conditions and operating needs suggests flexibility but also a strong commitment to capital return as a core use of cash. This approach is sustainable as long as free cash flow remains robust and market conditions allow, but could be curtailed if cash flow weakens or investment opportunities demand higher capital allocation.

Dividend payments have also increased significantly, with \$974 million paid in fiscal 2026 and quarterly dividends consistently around \$244 million [3][1][4]. The board's ongoing discretion over dividend declarations implies a cautious but steady approach to returning capital, balancing shareholder income with operational liquidity. Given the company's strong free cash flow generation—\$97 billion in fiscal 2026—this dividend policy appears sustainable, though it remains contingent on maintaining profitability and cash flow levels. Any material downturn in earnings or cash flow could prompt a reassessment of dividend levels.

Management's outlook for fiscal 2027 projects total revenue of approximately \$78 billion, with growth primarily driven by the Data Center segment, while explicitly excluding revenue from China [8]. This cautious revenue guidance reflects geopolitical and regulatory uncertainties that could constrain growth in a key market. The expectation of gross margins in the mid-70% range signals confidence in operational efficiency and pricing power despite potential headwinds. The sustainability of this outlook depends on the company's ability to navigate supply chain complexities and geopolitical risks, as well as to capitalize on demand in other regions and segments.

NVIDIA's stated strategy to continue investing in technology and ecosystem development while maintaining disciplined capital allocation underscores a balanced approach between growth and shareholder returns [8]. The inclusion of stock-based compensation in non-GAAP results signals transparency and a recognition of talent retention as critical to long-term success. This disciplined investment posture, combined with aggressive capital return, suggests management is prioritizing sustainable growth and shareholder value rather than short-term expansion. This balance is likely to persist unless disrupted by significant market or competitive shifts.

- \$60 billion additional share repurchase authorization approved, totaling \$71.2 billion available, signaling strong capital return focus [1][4].
- 282 million shares repurchased for \$40.4 billion in fiscal 2026, demonstrating aggressive execution of buyback strategy [3].
- Fiscal 2026 dividends totaled \$974 million, reflecting a steady increase and commitment to shareholder income [3][4].
- Fiscal 2027 revenue guidance of \$78 billion, driven by Data Center growth but excluding China, indicates cautious optimism amid geopolitical risks [8].
- Gross margin guidance in the mid-70% range suggests confidence in pricing and operational efficiency despite external uncertainties [8].
- Free cash flow of \$97 billion in fiscal 2026 supports ongoing capital returns and disciplined investment strategy [8].

What it means. NVIDIA's robust capital return program, supported by strong cash flow and disciplined investment, enhances shareholder value but depends on sustaining growth outside China and managing geopolitical risks.

Sources cited above.

- [1] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.30
 [2] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.28
 [3] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.43
 [4] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.41
 [5] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.36
 [6] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.31
 [7] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.37
 [8] Q42026 Quarterly Report - Corrected Transcript - p.6

KEY RISKS

The risks most material to the investment case, ranked by how much damage each would do — not by filing order. Each carries what it hits, what it does to our fair value, and the single indicator to watch for it starting.

Risk	Likelihood	Financial impact	Valuation impact	What to watch
Customer Concentration Risk Loss or reduced purchases from top customers, who represent over 35% of total revenue, would sharply reduce sales and margins in the Compute & Networking segment.	Medium	Potential loss or reduction of up to 36% of total revenue (22% + 14% from two largest customers) primarily in Compute & Networking segment	Could push fair value down toward bear case of USD 38.44 (-82% vs price), given heavy reliance on these customers	Quarterly revenue contribution from top 2 customers falling below 30% of total revenue

Risk	Likelihood	Financial impact	Valuation impact	What to watch
Export Controls on Data Center GPUs US export restrictions limit sales of data center GPUs and related networking products, reducing addressable market and encouraging customers to design out NVIDIA chips.	High	Could reduce Compute & Networking segment revenue by up to 40%, given its reliance on data center GPUs and networking products	May drive valuation closer to bear case USD 38.44 (-82% vs price) due to constrained growth and margin pressure	Decline in quarterly data center GPU sales growth rate below 10%
Partner Channel Disruption System integrators and channel partners failing to meet complex system specifications or altering purchasing patterns could delay or reduce product sales.	Medium	Could delay or reduce up to 20% of total revenue linked to indirect sales channels	Could reduce fair value by approximately 20-30% from base case USD 86.06, reflecting slower revenue growth	Increase in order cancellations or delays reported by partners exceeding 10% quarter-over-quarter
Trade Restrictions Impacting Customer Access Trade restrictions may prevent sales to key customers or regions, reducing revenue and increasing inventory risk.	Medium	Potentially impacts up to 15% of revenue from restricted regions or customers	Could reduce fair value by 15-25% from base case USD 86.06 due to lost market access	Quarterly revenue from restricted regions declining by more than 10% sequentially
Counterparty Credit Risk Credit issues with large partners or distributors could delay payments and reduce cash flow, impacting financial stability.	Low	Could affect cash flow from up to 30% of revenue sourced through channel partners	May reduce fair value by up to 10% from base case USD 86.06 due to increased working capital needs	Increase in days sales outstanding (DSO) beyond 60 days for major partners

COMPETITIVE MOAT

Moat rating: Narrow

NVIDIA possesses a narrow moat primarily due to its proprietary CUDA software ecosystem and superior performance-per-watt architecture (NVLink 72), which provide some switching costs and technical differentiation. However, the extremely high terminal operating margin of 48.3% is not fully supported by these advantages given increasing competition and the risk of commoditization in AI hardware.

Sources of advantage:

- Proprietary CUDA software stack and TensorRT LLM inference optimization creating switching costs for customers reliant on NVIDIA's ecosystem.
- NVLink 72 interconnect technology enabling a 50x performance-per-watt improvement, which is a significant architectural innovation difficult to replicate.
- Strong relationships with hyperscalers and cloud service providers (CSPs) who value NVIDIA's performance per watt as it directly translates to their revenue.
- Continuous innovation in parallelization algorithms and hardware-software co-design that sustains performance leadership.

Threats to the moat:

- Emerging AI chip competitors developing alternative architectures that could erode NVIDIA's performance and power efficiency lead.
- Potential open-source or industry-standard software stacks reducing switching costs away from CUDA.
- Hyperscalers investing in custom AI silicon (e.g., Google TPU, Amazon Inferentia) to reduce dependence on NVIDIA hardware.
- Supply chain constraints or delays in next-generation product rollouts that could allow competitors to catch up.

MANAGEMENT SAYS VS OUR VIEW

Where our modelled view meets management's own. The rows that matter are the ones where we are more cautious than the company.

Topic	Management says	Our view	Our take
Revenue Growth	Compute demand is accelerating exponentially across training and inference, driving strong growth.	We model a robust but more conservative 32.7% year-1 revenue growth, reflecting some moderation in growth expectations.	More cautious
Importance of Performance per Watt	Performance per watt is the key metric that directly translates to customer revenues and is a major competitive advantage.	We agree that performance per watt is critical and a source of differentiation, but we see this advantage as vulnerable to competition over time.	Aligned
AI Ecosystem Scaling	The AI ecosystem is scaling fast with more foundation model makers and startups globally, expanding demand for NVIDIA products.	We acknowledge ecosystem growth but are cautious about how much of this demand NVIDIA can sustainably capture given competitive pressures.	More cautious
Terminal Operating Margin	Implied by their confidence in product leadership and pricing power, management suggests sustaining very high margins.	We model a terminal margin of 48.3%, which we believe is aggressive given the narrowing moat and increasing competition.	More cautious

UPCOMING CATALYSTS

The dated events most likely to move the stock, the direction each points, and the figure it would move. These are when the thesis gets tested.

Event	Timing	Direction	Moves
Q3 FY2026 Earnings Release	Late August 2026	Two-sided	Quarterly revenue growth rate
Rubin GPU Platform Ramp-up Update	Q4 FY2026 (November-December 2026)	Positive if strong ramp, Negative if delayed or weak	Data Center segment revenue contribution
US Government Replacement Export Control Rule Announcement	Expected Q3 FY2026 (August-September 2026)	Negative if restrictive, Two-sided if uncertain	Regulatory impact on product sales/licensing
Progress Report on US-based Manufacturing Expansion	Q4 FY2026 (December 2026)	Positive if on track, Negative if delayed	Manufacturing capacity and supply chain resiliency

WHAT TO WATCH

The metrics the valuation is most exposed to, with what our thesis expects each to do — so a reader can tell when reality diverges from our view.

Metric	Current	Trend	What we expect	Why it matters
Data Center Revenue Growth	65% YoY growth in FY2026	Decelerating from prior FY2025 (114%) and FY2024 (126%)	Mid-teens to low 20s % growth in FY2027	Data Center revenue growth is the primary driver of valuation and price expectations; slower growth than implied by current price supports SELL rating
Operating Margin	48.3% terminal operating margin assumed	Stable but subject to pressure from supply chain and product transition costs	Sustained near 48% if supply chain and production issues are managed well	Operating margin heavily influences free cash flow and fair value; margin compression would reduce valuation
Revenue CAGR Implied by Market Price	24.8% 10-year CAGR implied by current price	Market expects sustained high growth, above our 11.9% forecast	Actual growth closer to 11.9% CAGR	Discrepancy between market implied growth and our forecast is key to valuation gap
Impact of US Export Controls	Uncertain, replacement rule pending	Potentially negative if restrictive licensing imposed	Moderate impact limiting sales of key data center products	Regulatory restrictions could materially reduce addressable market and revenue

Metric	Current	Trend	What we expect	Why it matters
Adoption of Open-Source AI Models on NVIDIA Platforms	Increasing importance but competitive risk from other platforms	Uncertain, dependent on developer ecosystem	Moderate adoption supporting platform demand	Platform adoption drives long-term demand for hardware and software, affecting revenue growth

HOW WE REACH THE NUMBER

The headline figure reconciles several independent valuations, each weighted by the confidence it earns — the analyst consensus by how many analysts stand behind it. Every source is shown so the blend is auditable: our intrinsic DCF is one voice, the market's consensus another.

Source	Value / share	Weight	Detail
Intrinsic DCF	USD 86.06	1.0	Discounted free cash flow on audited figures; this model's own estimate
Analyst consensus	USD 300.00	3.0	58 analysts; median USD 300.00; mean USD 302.83; range USD 180–500

Blended fair value USD 246.52 (+12.6% vs price). Reconciled from USD 86.06 to USD 300.00 across sources.

WHAT IS PRICED IN

A DCF whose fair value sits below the price is easy to dismiss as the model being wrong. Inverting it is harder to dismiss: holding every other driver at our base case, we solve for the level of each one that would return today's price of USD 218.99. Each row is a single, checkable claim about what the market must believe — judge it against the company's own history.

Driver	Our base case	Priced in at USD 218.99	Gap
Revenue CAGR (10-year)	11.9%	24.8%	+12.9pp
Operating margin (mature)	48.3%	—	—
FCF margin (mature)	40.3%	—	—
Terminal growth	2.5%	8.7%	+6.2pp

Operating margin (mature). Even a 100%-of-revenue operating margin — the theoretical ceiling — does not reach the price; it cannot be justified on margin alone.

FCF margin (mature). Even at zero capital spending — the ceiling on cash conversion — the implied cash margin cannot reach the price.

Terminal growth. Above long-run GDP growth — it implies the company outgrows the economy forever.

Read together, these are what the price assumes if the market is right about everything else. A gap the company has never closed in its own history is the risk in owning it here; a dash means the price cannot be reached on that lever alone.

DISCOUNTED CASH FLOW

Year	Revenue	Growth	Op. margin	Free cash flow	Present value
FY2027	286.6bn	32.7%	60.4%	130.4bn	116.4bn
FY2028	354.5bn	23.7%	59.0%	162.0bn	129.1bn
FY2029	415.8bn	17.3%	57.7%	189.8bn	135.1bn
FY2030	469.4bn	12.9%	56.4%	212.7bn	135.2bn
FY2031	515.2bn	9.8%	55.0%	230.7bn	130.9bn
FY2032	554.2bn	7.6%	53.7%	244.3bn	123.8bn
FY2033	587.8bn	6.1%	52.3%	254.3bn	115.0bn
FY2034	617.1bn	5.0%	51.0%	261.3bn	105.5bn
FY2035	643.3bn	4.2%	49.6%	266.0bn	95.9bn
FY2036	667.3bn	3.7%	48.3%	268.9bn	86.6bn

SEGMENT FORECAST: A BOTTOM-UP CROSS-CHECK

The headline DCF grows total revenue top-down. This forecasts each reportable segment on its own trajectory and sums them, as a check on that single blended number. The headline valuation is unchanged; this is the stress-test on its central assumption.

Segment	Revenue FY2026	Yr-1 growth	10y CAGR	Revenue FY2036
Compute & Networking	193.5bn	66.5%	21.9%	1.4tn
Graphics	22.5bn	57.0%	19.1%	129.2bn
Bottom-up total	215.9bn	-	21.6%	1.5tn

The reported segments sum to USD 215.9bn, within 0% of total revenue — a clean bottom-up build. Summed bottom-up, the segments imply a 22% total CAGR — 10pp above the 12% our top-down DCF assumes. That gap is where the growth debate on this name actually sits.

SCENARIOS: BEAR, BASE, BULL

Three coherent states of the world. Unlike the sensitivity grid, each scenario moves growth, margin, terminal growth and the discount rate **together**. The bear-to-bull spread is sized from this company's own historical volatility, not a fixed percentage.

Scenario	Yr-1 growth	Term. margin	Term. growth	WACC	Fair value	vs price	Weight
Bear case	12.7%	36.3%	2.0%	13.5%	USD 38.44	-82%	25%
Base case	32.7%	48.3%	2.5%	12.0%	USD 86.06	-61%	50%
Bull case	52.7%	60.3%	3.0%	10.5%	USD 205.65	-6%	25%

Probability-weighted value USD 104.05 (-52.5% vs price). Range USD 38.44 to USD 205.65, a spread of 194% of the base value. Read as a range, not a point.

Bear case. Demand softens and competition bites: year-one growth slows to 13%, the sustainable operating margin settles near 36%, and the market prices the added risk through a 13.5% discount rate. Growth spread +/-20pp (one standard deviation of 5 years of revenue growth); margin spread +/-12pp (one standard deviation of 6 years of operating margin); discount rate +/-2bps; terminal growth +/-0bps.

Base case. The central case, identical to the headline DCF: year-one growth of 33% decaying toward 2.5%, a terminal margin of 48%, discounted at 12.0%.

Bull case. Growth proves durable and operating leverage plays out: year-one growth holds at 53%, margins recover toward 60%, and an easing risk premium lowers the discount rate to 10.5%. Growth spread +/-20pp (one standard deviation of 5 years of revenue growth); margin spread +/-12pp (one standard deviation of 6 years of operating margin); discount rate +/-2bps; terminal growth +/-0bps.

ASSUMPTIONS

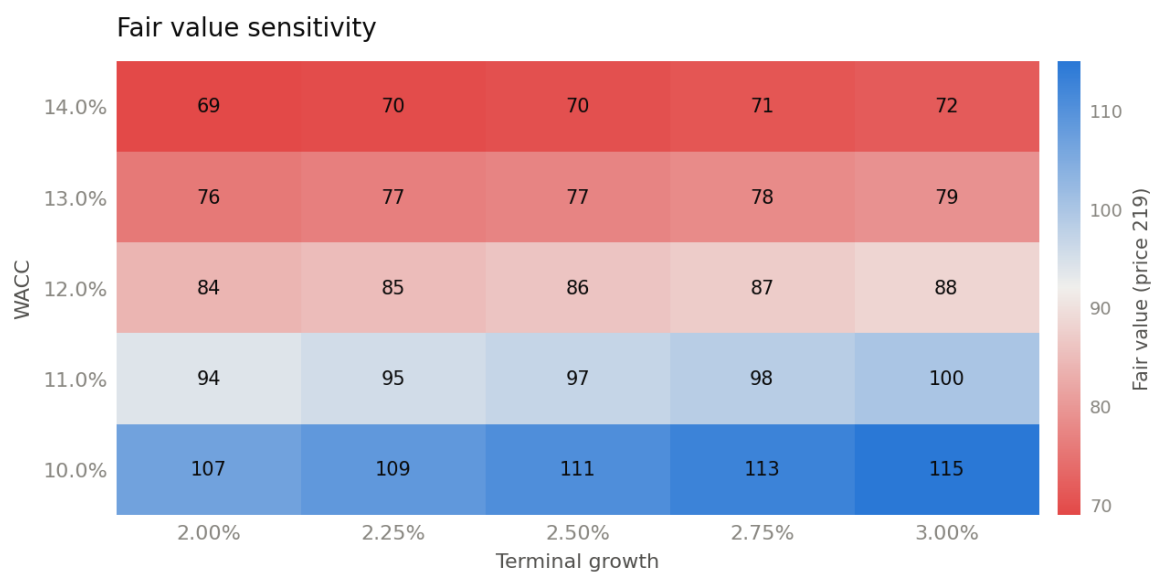
Every input to the model, how it was derived, and why. Inputs marked **bounded** were proposed by the language model and constrained to a range supported by reported history before entering the calculation.

Assumption	Value	Basis	Derivation
Risk-free rate	4.7%	Live market data	US 10-year Treasury yield (^TNX), latest close
Equity risk premium	5.5%	Standard default	Standard premium for US
Beta (Blume-adjusted)	1.81x	Live market data	Five-year raw beta 2.21, Blume-adjusted (0.67 x 2.21 + 0.33 x 1.00) = 1.81
Effective tax rate	13.5%	Derived from filings	Mean of tax expense / pre-tax income for FY2024-FY2026

Assumption	Value	Basis	Derivation
Beta (long-horizon)	1.61x	Derived from filings	0.75×1.81 (Blume) + 0.25×1.00 , the average beta over a 10-year horizon
Size premium	-1.5%	Standard default	Build-up size premium for a mega-cap (market cap USD 5,304bn)
Cost of equity	12.0%	Derived from filings	CAPM build-up: $4.65\% + 1.61 \times 5.50\% - 1.5\%$ size
Pre-tax cost of debt	6.2%	Standard default	Risk-free $4.65\% + 1.5\%$ investment-grade spread
WACC (discount rate)	12.0%	Derived from filings	$100\% \text{ equity} \times 12.01\% + 0\% \text{ debt} \times 6.15\% \times (1 - 13\%)$
Terminal growth rate	2.5%	Model estimate (bounded)	Model estimate 2.5%, bounded to [1%, 4%]
Year 1 revenue growth	32.7%	Model estimate (bounded) (bounded)	Model estimate 20%, bounded to [33%, 65%] from reported growth of 65%
Terminal operating margin	48.3%	Model estimate (bounded) (bounded)	Model estimate 30.0%, normalised down from today's 60.4%; kept within a maturity band of [48.3%, 62.4%] (floor 80% of current, set by steady margins; ceiling the demonstrated peak)
Explicit forecast period	10	Standard default	10-year explicit forecast, then a perpetuity
D&A; as % of revenue	1.7%	Derived from filings	Three-year mean of depreciation and amortisation over revenue
Capex as % of revenue	2.3%	Derived from filings	Three-year mean of capital expenditure over revenue
Incremental working capital	25.0%	Derived from filings	Median change in working capital over change in revenue across 3 year(s) with material revenue growth, capped at 25%

SENSITIVITY

Fair value per share across the discount rate and terminal growth rate. Cells above the current market price are blue, below are red.



COMPARABLE COMPANIES

Company	Market cap	P/E	EV/EBITDA	EV/Sales
Advanced Micro Devices, Inc. (AMD)	761.4bn	119.0x	81.8x	18.9x
Broadcom Inc. (AVGO)	1.7tn	60.3x	44.0x	24.6x
Intel Corporation (INTC)	492.2bn	-	31.1x	9.2x
QUALCOMM Incorporated (QCOM)	170.5bn	18.8x	14.6x	4.0x
Taiwan Semiconductor Manufacturing Company Limited (TSM)	2.1tn	30.9x	4.7x	3.3x

Implied value applies the peer median P/E of 45.6x to trailing EPS of 4.90.

MODEL NOTES AND LIMITATIONS

- The analyst consensus (USD 300.00) sits 249% above our intrinsic DCF (USD 86.06). The blended value reconciles the two; read it as a triangulation, not a precise number.
- At USD 218.99 the price sits above even the bull case (USD 205.65); the market is pricing assumptions more optimistic than any of the three scenarios.
- The bull-to-bear range spans 194% of the base fair value, so the valuation depends heavily on which scenario plays out and should be read as a range rather than a point.
- Year 1 revenue growth was constrained to 32.7% (estimate was 20.0%).
- Terminal operating margin was constrained to 48.3% (estimate was 30.0%).
- Financial statement figures are taken from SEC XBRL company facts (the company's own tagged filing data).

SOURCE DOCUMENTS

Every statement in this report is drawn from the documents below.

Q12027 Quarterly Report (10-Q) · filed 2026-05-20

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000052/nvda-20260426.htm>

Q12027 Earnings Release (8-K) · filed 2026-05-20

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000051/q1fy27pr.htm>

Q12027 Investor Presentation

https://s201.q4cdn.com/141608511/files/doc_financials/2027/Q127/NVDA-F1Q27-Quarterly-Presentation-FINAL.pdf

Q42026 Earnings Release (8-K) · filed 2026-02-25

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000019/q4fy26pr.htm>

Q42026 Quarterly Report

https://s201.q4cdn.com/141608511/files/doc_financials/2026/q4/NVDA-Q4-2026-Earnings-Call-25-February-2026-5_00-PM-ET.pdf

Q32026 Quarterly Report (10-Q) · filed 2025-11-19

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000230/nvda-20251026.htm>

Q32026 Earnings Release (8-K) · filed 2025-11-19

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000228/q3fy26pr.htm>

Q22026 Quarterly Report (10-Q) · filed 2025-08-27

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000209/nvda-20250727.htm>

Q22026 Earnings Release (8-K) · filed 2025-08-27

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000207/q2fy26pr.htm>

Q12026 Quarterly Report (10-Q) · filed 2025-05-28

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000116/nvda-20250427.htm>

FY2026 Annual Report (10-K) · filed 2026-02-25

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000021/nvda-20260125.htm>

FY2026 Earnings Release

<https://fortune.com/company-assets/1936/quarter/earnings-release-8-k-73c0d-2026-02-25-09-17-32.pdf>

Q42025 Investor Presentation

https://s201.q4cdn.com/141608511/files/doc_financials/2025/q4/NVDA-F4Q25-Quarterly-Presentation-FINAL.pdf

FY2025 Annual Report (10-K) · filed 2025-02-26

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000023/nvda-20250126.htm>

FY2024 Annual Report (10-K) · filed 2024-02-21

<https://www.sec.gov/Archives/edgar/data/1045810/000104581024000029/nvda-20240128.htm>

This report was generated by an automated research tool for demonstration purposes. It is not investment advice, not a recommendation to buy or sell any security, and has not been reviewed by a licensed analyst. Figures are drawn from public filings and market data sources and may contain errors. Always verify against the primary sources listed before relying on anything here.